

I read in the *New York Times* that financial services was the fastest-growing industry in America, faster than fast food, faster than real estate, faster even than legal services, which was reproducing at two percent a year. Financial services was multiplying at 4 percent a year, or faster than the population of Mexico. It was multiplying faster than home health care, cappuccino salons, exercise clubs, croissant cafés, and alternative long-distance. The department stores—Sears, K Mart, and so forth—had begun to sell financial services right alongside the rain gear and the toaster ovens. Meanwhile, you could get toaster ovens and rain gear as prizes for putting your money into a bank. Perhaps the department stores had gone into banking in retaliation for the banks' appliance giveaways. In any event, there was a great blurring of inventory, which promised to blur more as banking was further deregulated.

By calling the federal banking officials in Washington, I learned that there are 4,000 separate S&Ls and 14,000 different banks, plus many thousands of local branches operating in our country. The biggest difference between the banks and the S&Ls seems to be that banks are allowed to make bad loans to far-off places like Peru and Mexico, while savings-and-loans are restricted to making bad loans in nearby commercial construction, especially empty office buildings. None of this should bother the depositor, as long as the assets are protected by the Federal Deposit Insurance Corporation (FDIC) in case the bank goes bankrupt—or by the Federal Savings and Loan Insurance Corporation (FSLIC) in the case of an S&L flop.

The older and better-established banks in my neighborhood tend to look like mausoleums. Apparently, it was common practice, especially during the Depression, to build banks out of granite or other long-lasting materials, and to protect the entrances with heavy steel doors and gates. These thick exteriors and impressive gates reassured patrons that the banks contained something worth protecting, during periods when the assets were depleted and solvency itself was in doubt.

Newer banks and S&Ls are often installed in storefronts and easily confused with boutiques. Many were opened during the recent national prosperity. When public confidence in the banking system is unusually high, bankers can get away with building flim-